

National Report · Kingdom of Saudi Arabia 2026

Real Estate Market Report Saudi Arabia

Strategic analysis and market dynamics for 2026

An institutional, data-led reading of the Kingdom's market: macroeconomics, regulation, residential, offices, retail, giga-projects and hospitality.

Macro

Regulation

Residential

Offices

Retail

Giga-Projects

Hospitality

Maps

Nine themes covering the Saudi real estate market in 2026

From growth drivers and liquidity to executable opportunities, in the order an institutional investor reads the market.

01

Executive Summary & Macro Landscape

Non-oil GDP · Liquidity & rates · Demographics ·
Announced projects

02

Offices & Regional Headquarters

Grade A squeeze · RHQ programme · Rents by city · ESG

03

Residential & Housing Market

830k units · Prices & rents · Price sweet spot · Yields

04

Retail & Lifestyle Centres

E-commerce +20% · F&B hubs · Distribution by region

05

Giga-Projects & Logistics

USD 1.3tn · NEOM · New Murabba · Qiddiya ·
Warehousing

06

Hospitality & Tourism

150m visitors · Red Sea & AMAALA · Expo 2030 & World
Cup 2034

07

Legislative & Regulatory Framework

Foreign ownership · White Land Tax · Wafi · Premium
Residency

08

Market & Transaction Data

SAR 50bn a year · Mortgages · Land · City comparison

09

Takamol View: Opportunity Summary

Ten opportunities · Investor matrix · Takamol services ·
Real Forsa & Real Invest

How this report was built and what sets it apart

Data sources

General Authority for Statistics (GASTAT), Saudi Central Bank (SAMA), Real Estate General Authority (REGA), Ministry of Housing and the National Housing Company (NHC), Public Investment Fund (PIF) and the Ministry of Investment, alongside international advisory reports (JLL, Knight Frank, CBRE) as a benchmark for comparison and verification.

Analytical approach

Tracking the latest economic and regulatory indicators shaping the market, assessing the performance of the core sectors (residential, office, retail, hospitality) against official data and global reports, then linking each sector to its drivers (demographics, RHQs, giga-projects, regulation) to derive executable recommendations.

What makes Takamol's report different

A national reading that places Riyadh, Jeddah, the Eastern Province, Makkah, Madinah and Al-Qassim in one frame, with a geographic map of the giga-projects, and links the numbers to automated feasibility studies in Real Invest and curated opportunities in Real Forsa — a decision tool, not just a market commentary.

Scope: the Kingdom of Saudi Arabia and its thirteen regions, with a focus on Riyadh, Jeddah, Dammam/Khobar, Makkah, Madinah and the giga-project sites · Reference period: Q3 2025 – Q1 2026.

Units and comparison: values in Saudi riyals unless stated otherwise (giga-project investment in US dollars) · annual rates versus the same period of 2025 (YoY) · estimates are flagged with "around" or "approx.".

01

Executive Summary & Macro Landscape

Decoupling from oil • Liquidity and interest-rate dynamics • FDI flows
and regional headquarters • Capital expenditure • Demographics •
Return-vs-risk matrix



Macro indicators: a high-investment economy decoupling from oil

4.1–4.9%

Non-oil GDP growth — the engine of the economy

32%

Gross fixed capital formation to GDP (from a 24% average)

1.6–2.0%

Inflation — monetary stability under control

\$1.3T+

Announced construction and infrastructure pipeline (USD trillion)

Decoupling and a high-investment economy

Economic studies show the Saudi economy is in a historic phase of decoupling from traditional oil-market cycles: non-oil GDP is now the real driver of growth, employment and property demand, with steady real growth of 4.1%–4.9% and the non-oil private sector expanding at 4.9% a year.

The Kingdom has formally become a high-investment economy, with capital formation at 32% of GDP — on a par with major industrial economies such as South Korea. Demand for real estate of every type is no longer the product of passing liquidity surges but of deep capital restructuring.

Rationalising capital expenditure

According to Knight Frank the economy is in a phase of capex rationalisation: sovereign liquidity is being directed precisely towards projects with a direct economic return and those tied to international commitments (Expo 2030 and the 2034 World Cup).

Most significant is the accelerating growth of private and non-oil corporate investment (around +7.1% a year), reflecting a gradual hand-over of the investment initiative from the Treasury to institutional and private capital — led by PIF as the largest operator and driver of capital flows.

Implication: a market funded by investment, not rent — income-producing operational assets (offices, logistics, rented housing) are the first beneficiaries.

Demographic shifts and employment strength: the structural base of demand

63%+

Of the population under 30 — a young profile

4.2

Persons — average Saudi household size (declining)

~7%

Unemployment among citizens — a historic low

35%+

Female labour-force participation — a record high

Target segments and their property behaviour

Young dual-income households: women entering the workforce and rising combined household income have fundamentally changed purchasing power and product demand; a preference for modern apartments and townhouses inside gated communities.

Expatriates and new professionals: the hundreds of global firms that moved their headquarters to Riyadh under the RHQ programme attract thousands of high-earning executives, driving demand for luxury housing, serviced apartments, hospitality and retail.

New small households: a falling average household size has created stand-alone demand for compact units and modern apartments, accelerated by urbanisation in Riyadh, Jeddah and the Eastern Province.

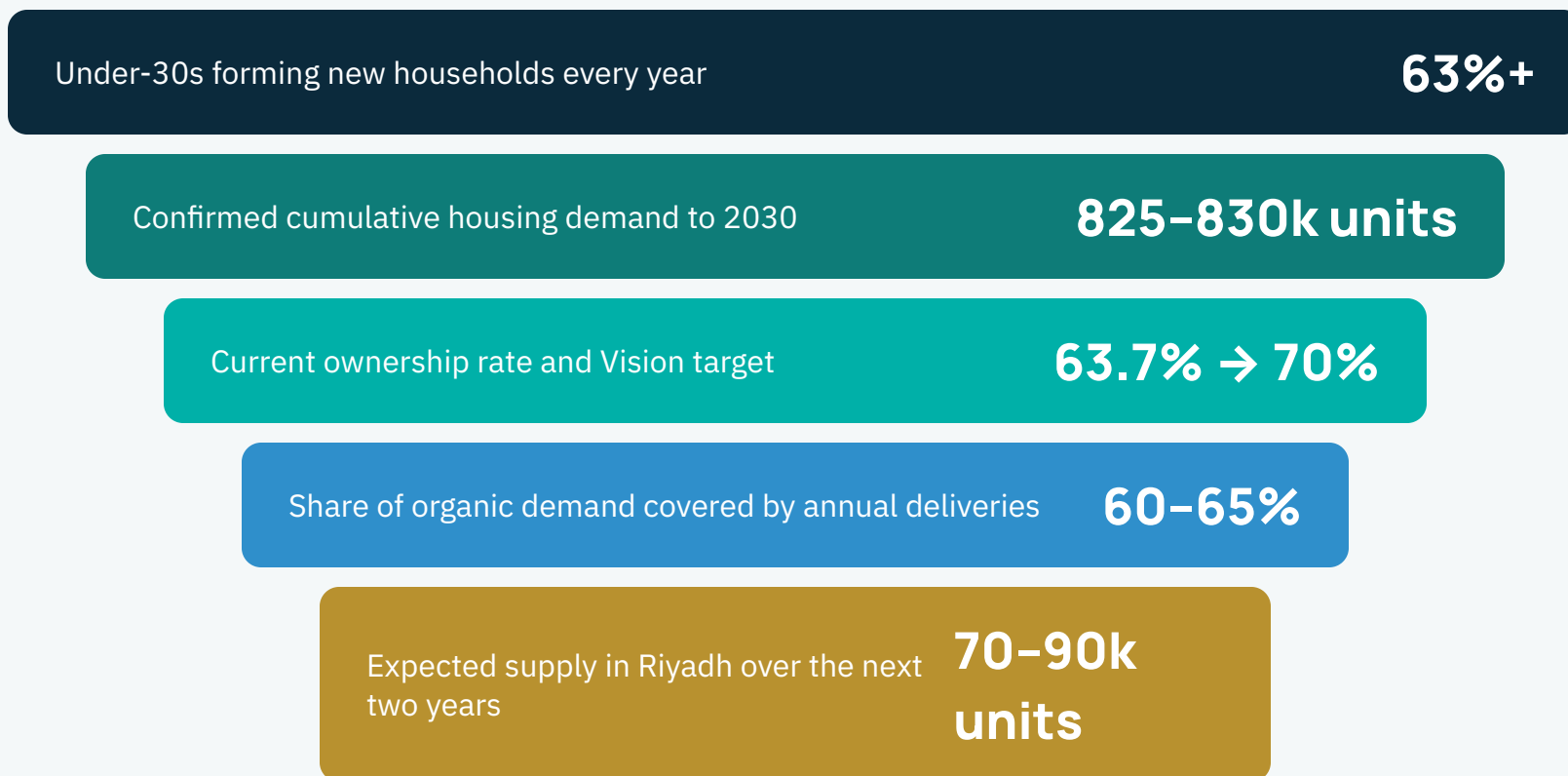
Takamol view

According to CBRE, demographics are the true guarantee of structural property demand in the Kingdom: a young population, falling unemployment and record female participation all translate into new households needing homes every year, regardless of the rate cycle.

Riyadh's expansion strategy, from around 7.8 million residents to 15–20 million by 2030, makes the capital the focal point of housing pressure, while opening more balanced windows in Jeddah, the Eastern Province and the emerging cities.

Product window: 120–180 sqm apartments and compact townhouses within serviced communities — the heart of new national demand.

Demand funnel: from population mass to the housing supply gap



Reading the funnel

Reports conclude that the overall picture is one of structural supply shortage set against vast demographic and economic demand: current annual deliveries cover only 60%–65% of the organic demand generated each year.

Persistent price rises in the main cities — despite lower transaction counts because of interest rates — show that underlying demand is still not fully met, giving developers with land in strategic locations and tight cost control a rapid absorption advantage.

Estimated annual gap: 35%–40% of organic demand uncovered

Source: GASTAT, Ministry of Housing, CBRE, Knight Frank and JLL reports, and Takamol analysis. Gap ratio is an estimate.

Foreign direct investment flows and the RHQ programme

5.7%

Of GDP — the 2030 FDI target

540+

Global companies holding a Regional HQ (RHQ) licence

+35%

Growth in foreign investment licences in real estate

\$100bn

A year — FDI attraction target by 2030

International investment appeal

JLL notes that FDI is no longer confined to energy and industry: commercial, office and logistics real estate has become a primary destination for regional and international capital, with foreign licences in the property sector growing by more than 35% a year.

The RHQ programme has created a multiplier effect: it generates demand not only for office space but also attracts thousands of high-earning executives, driving demand for luxury housing, hospitality and retail.

Liquidity and interest-rate dynamics

Three-month SAIBOR holds above 5.5%–5.8% in step with the US Federal Reserve; private credit growth of 12%–14% outpaces deposit growth (~9%–10%), and a loan-to-deposit ratio of 81.9%–83% has squeezed traditional lending margins.

Retail mortgage lending remains resilient, with quarterly originations above SAR 27.8bn despite the cost of funds — pushing developers to move from exclusive reliance on bank debt towards closed-end real estate funds and joint ventures.

Investment implication: capital is expensive but demand is resilient — whoever holds an alternative funding structure (funds, JVs, Wafi) wins market share in 2026.

Giga-project map – the Kingdom 2026

1 NEOM

North-west · USD 500bn · The Line, Oxagon, Trojena (2029 Asian Winter Games), Sindalah and Magna · USD 28bn in contracts awarded

2 Red Sea Project & AMAALA

West coast · 50+ resorts / 8,000 hotel rooms · AMAALA: 29 luxury hotels / 3,800 keys · 100% renewable-powered

3 New Murabba

North-west Riyadh · USD 50bn+ · 104,000 residential units · 900,000 sqm of commercial space · The Mukaab icon

4 Diriyah Gate

Riyadh · USD 63bn+ · 20,000+ Najdi-style homes · 42 luxury international hotels · heritage museums

5 Qiddiya City

West of Riyadh · USD 40bn+ · Speed Park and sports venues · 60,000 integrated buildings and units · the entertainment capital

6 King Salman Park & King Salman International Airport

Riyadh · USD 15bn+ · the world's largest urban park · 135 km of trails · airport: 120 million passengers by 2030

Investment implication: Riyadh alone accounts for more than USD 314bn of announced real estate projects, while the west coast (NEOM, Red Sea, AMAALA) is redrawing the luxury hospitality map. Property adjoining giga-project sites records price gains of 15%–25% — timing and proximity define the entry window.



Boundaries of the thirteen administrative regions · project locations approximate

International milestones as investment levers: Expo 2030 and the 2034 World Cup

Vision 2030, transport and tourism targets

King Salman International Airport: capacity rising to 120 million passengers by 2030, turning north Riyadh into a global logistics and commercial hub that reprices the surrounding land.

Tourism: 150 million visitors targeted by 2030 (domestic and international) · expected ADR for ultra-luxury products USD 1,200+ · RevPAR growth above 18% in Riyadh.

Macro: USD 1.3tn+ project pipeline · USD 196bn+ in construction contracts awarded and under way · 4.6m+ sqm of new institutional office space.

Expo 2030 (Riyadh) and the 2034 World Cup

Expo 2030 — Riyadh

A 6 million sqm site near King Salman Airport, creating immediate demand for 40,000+ extra hotel rooms

World Cup 2034

15 world-class stadiums built or expanded in Riyadh, Jeddah, Khobar, Qiddiya and NEOM, with surrounding mixed-use schemes

Hospitality and serviced apartments

Rising demand for hotels, serviced apartments, retail and leisure around airports, Metro stations and stadiums

A delivery accelerator

CBRE: international milestones are a binding accelerator for the giga-projects, removing delay risk and giving investors clear delivery dates

120M

Passengers — King Salman Airport capacity target 2030

6M sqm

Expo 2030 site near King Salman Airport · 40,000+ rooms

15

World Cup 2034 stadiums in Riyadh, Jeddah, Khobar, Qiddiya, NEOM

150M

Visitors targeted by 2030 · ultra-luxury ADR USD 1,200+

Kingdom roadmap 2026–2034: the milestones that reprice the market

Every delivery milestone adds quality supply or opens a new wave of demand — its timing defines the investor's entry window.

2026

~750k sqm of new offices in Riyadh · non-Saudi ownership law in force · Wafi expands (+60% off-plan growth)

2028

2027–28 wave complete: ~1.1m sqm of offices · 70–90k homes delivered in Riyadh · first phases of Red Sea and AMAALA

2030

Expo 2030 Riyadh: 6m sqm and 40,000+ rooms · 150m visitors · 70% ownership · 380,000+ giga-project units · FDI USD 100bn

2027

Gradual easing of office supply (KAJD, north Riyadh giga-projects) · absorbed without surplus · net yields 8.2%–8.8%

2029

Trojena hosts the Asian Winter Games · Diriyah Gate and Qiddiya deliveries accelerate · King Salman Airport phases open

2034

World Cup: 15 stadiums in five cities · peak demand for hospitality, serviced apartments, leisure retail and transport

Business confidence, financing and construction costs

+7.1%

Annual growth in non-government fixed capital formation (private capex)

5.5–5.8%

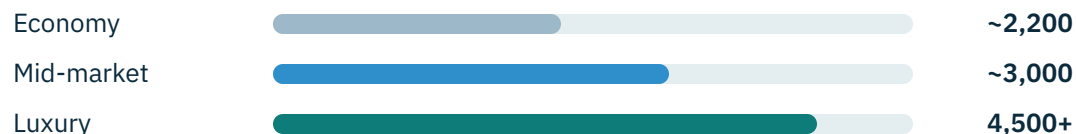
Three-month SAIBOR — the highest cost of funds in a decade

81.9–83%

Loan-to-deposit ratio (LDR) — pressure on lending margins

Average construction and finishing cost (main cities)

2,200–4,500

 SAR / sqm

Key challenges: the high cost of finance, land costs in the major cities, and contracting supply-chain inflation as giga-projects compete for construction capacity — making cost and schedule control a decisive competitive edge. Ranges are Takamol estimates.

Modern methods of construction (MMC) change project economics

-30%

Energy consumption in buildings compliant with the Saudi Building Code

15–20%

Off-plan discount to the buyer in return for self-financing the developer

-25%

Electricity and water reduction required by institutional tenants (ESG)

18–25%

Target gross development margin (Takamol estimate)

With off-plan projects growing +60% in two years and default risk falling to near 0%, development economics are shifting to faster, lower-energy models; modular and precast construction shorten the delivery cycle and raise the product's appeal to institutional buyers and global tenants.

Occupancy gauges: a market running at near-full capacity in offices and logistics



98–99%

Grade A offices — Riyadh



~95%

Modern warehousing



92%+

Lifestyle and F&B centres



90%

120–180 sqm apartment
sales in launch months



63.7%

Saudi household
ownership rate



60–65%

Deliveries as a share of
housing demand

What do the gauges mean?

A near-full institutional market: Grade A offices in Riyadh at full occupancy (98%–99%) and modern warehousing at ~95%, while lifestyle centres exceed 92% against slow growth in traditional malls. By contrast, residential deliveries cover only 60%–65% of organic demand.

Where is the opportunity?

The gap between near-full institutional occupancy and limited supply explains office rent growth of +19% and logistics of +8%–12%; in housing, the gap between 63.7% ownership and the 70% target means hundreds of thousands of units in the SAR 0.9–1.4m band that sell 90% within launch months.

Return vs risk matrix: where does each sector stand in the Kingdom in 2026?

Serviced apartments (build-to-rent) 8.0–9.2%

Modern warehousing and data centres 8–9%

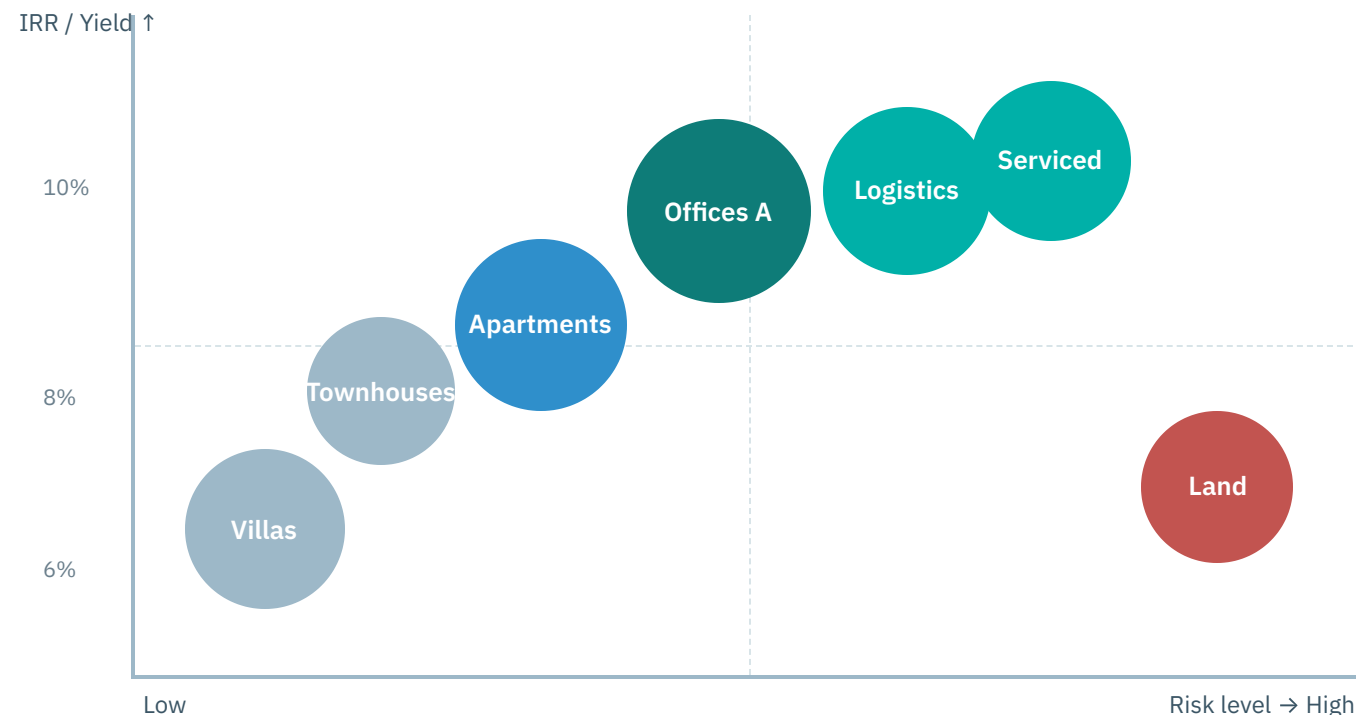
Grade A offices — Riyadh (net) 8.2–8.8%

Standard residential apartments 6.8–7.5%

Compact townhouses 5.5–6.2%

Detached luxury villas 4.0–4.8%

Raw land (under WLT fees) **Capital / fee pressure**



Bubble size reflects market depth (deal count and supply) · positioning is indicative, drawn from this report's indicators · institutional operational assets (serviced apartments, logistics, Grade A offices) combine the highest yields with the lowest vacancy nationwide.

02

Offices & Regional Headquarters

The Grade A squeeze · The RHQ relocation programme · Rental map by city and grade · Institutional demand segments · ESG requirements · Delivery outlook to 2028



Office overview: the strongest and tightest market in MENA

98–99%

Grade A office occupancy in Riyadh

+19%

Rental growth for Grade A offices in strategic locations

6.1M sqm

Existing office stock in Riyadh · under 35% Grade A

540+

Companies — RHQ programme licences

Occupancy by grade

Market dynamics: CBRE confirms Riyadh's office sector is the strongest-performing and tightest in the region; the market has entered a Grade A squeeze, with hundreds of global firms and government bodies seeking large, world-class floorplates while ready supply is almost non-existent. Grade B and C occupancy are Takamol estimates.



Takamol view

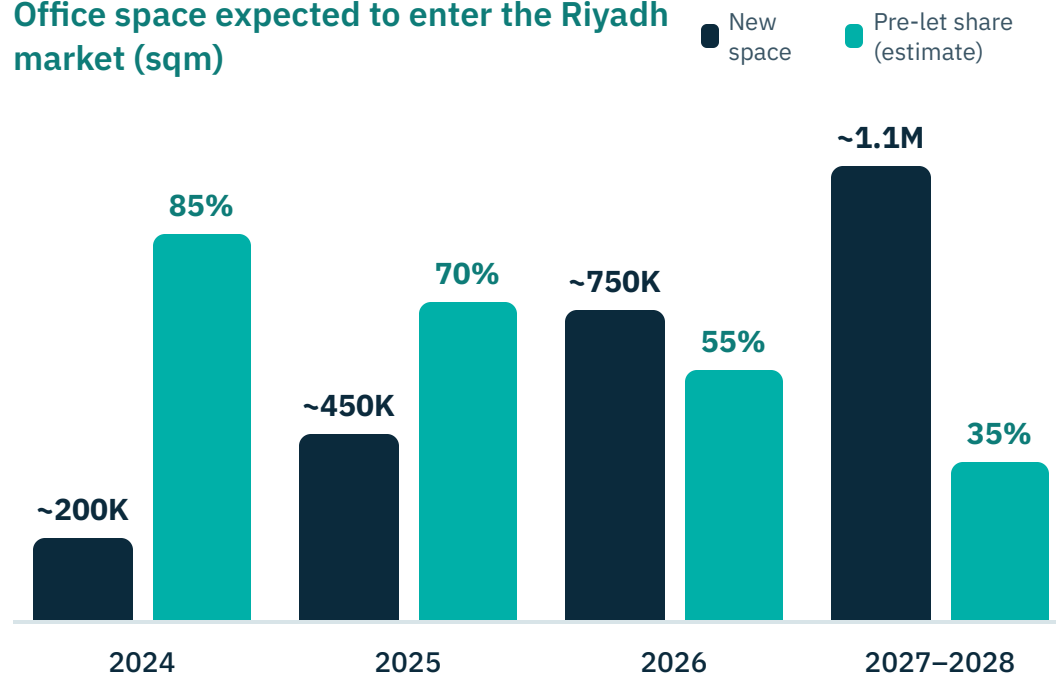
Demand far exceeds ready supply, forcing major corporates into off-plan pre-leasing of projects under construction such as the KAFD expansions, Diriyah and Al-Wahah.

There is a standards gap: multinationals seek only certified sustainable buildings (ESG and LEED), flexible space and operational efficiency — rare in older Grade B stock — widening the rental gap between grades and handing owners and developers full negotiating power.

Entry window: before supply eases in 2027, existing Grade A buildings and pre-let projects stay in a premium pricing position with net yields of 8.2%–8.8%.

Delivery outlook and the market equation to 2028

Office space expected to enter the Riyadh market (sqm)



Space from JLL, CBRE and Knight Frank reports (approximate chart reading) · pre-let shares are Takamol estimates.

8.2–8.8%

Net operating yield on Grade A offices to 2028

2027

The year office supply gradually eases

2,770+

SAR/sqm — Grade A rent, growing at double digits

1,500–5,000

sqm — typical requirement of a global corporate

Outlook and investment assessment

Absorption: demand will keep absorbing new supply through 2027 without a surplus that pressures prices. Reports conclude the market will see gradual relief in 2026–2027 as new phases of KAFD and the north Riyadh giga-projects arrive; with the corporate attraction programme and local institutional growth continuing, this supply will not cause a rental collapse but will create healthy stability and give companies wider, high-quality expansion options.

Rental comparison map by grade and city

Area / corridor	Grade A	Grade B	Rent level	YoY change
Riyadh — iconic schemes (KAJD)	4,000 SAR	1,750 SAR		+18.5%
Riyadh — Grade A (north Riyadh)	3,100 SAR	1,750 SAR		+18.5%
Riyadh — overall Grade A average	2,770 SAR	1,450 SAR		+8.0%
Jeddah — Grades A and B	1,600 SAR	1,050 SAR		+5.2%
Dammam / Khobar (Takamol estimate)	1,300 SAR	850 SAR		+2.0%

Upper annual rent in SAR per sqm · bar indexed to the highest point (KAJD = 100%) · annual change for Grade A in Riyadh and Jeddah from JLL; Grade B: Riyadh +8.0%, Jeddah +1.5%.

2.5×

Grade A rent gap between KAJD in Riyadh (4,000) and Jeddah (1,600) — the capital's premium

Reading the cities

Riyadh: rents in iconic schemes such as KAJD exceed SAR 3,500–4,000/sqm for international firms, with a widening gap between A and B.

Jeddah: a more moderate market (SAR 1,350–1,600/sqm) growing +5.2%, benefiting from hospitality, logistics and secondary RHQs.

Grade B: struggles to attract major corporates despite high spill-over occupancy, as there are no immediate alternatives.

Institutional demand drivers and the RHQ programme

Sources of demand for new offices in Riyadh, 2026



Source: CBRE — sources of demand for new offices in Riyadh.

1,500–
5,000

sqm — typical regional HQ requirement

According to CBRE, the RHQ programme is the sector's primary structural driver; firms required to base their headquarters in Riyadh typically need 1,500 to 5,000 sqm each.

Companies — a high-density employment base

540+

These firms concentrate in professional services, consulting and technology, creating a knowledge economy that lifts demand for commercial services, luxury housing and hospitality around the headquarters.

What does the international institutional tenant look for?

LEED Gold or equivalent · -25% energy efficiency · agile, reconfigurable workspaces · air quality and WELL standards · smart parking · long leases of 5–10 years.

ESG standards: the new entry ticket to offices

Knight Frank finds that over 70% of multinationals bound by corporate ESG programmes refuse to lease any building without a green certification (LEED Gold or its Mostadam equivalent). Many traditional towers are thus uncompetitive, while developers of smart green assets gain strong pricing power and 5–10 year leases. Required: energy efficiency (at least a 25% cut in electricity and water use), flexible space and WELL-standard indoor quality.

70%+

Of global firms require green certification

-25%

Minimum cut in electricity and water use

5–10

Years — lease term on green institutional assets

< 35%

Of Riyadh's office stock is modern Grade A

Impact on developers: with 6.1m sqm of stock and <35% Grade A, retrofitting existing buildings to LEED/Mostadam standards — not just new build — is one of the fastest routes from Grade B to Grade A rents.



Investment opportunities, challenges and outlook for the office sector

1

Off-plan pre-leasing

Major corporates forced to sign pre-leases on projects under construction (KAHD, Diriyah, Al-Wahah) have shifted negotiating power entirely to owners and developers, with pre-letting at unprecedented levels — lowering development risk and improving bankability before ground-breaking.

2

Investing in flexible green offices

More than 70% of multinationals require green certification; modern sustainable buildings with flexible space attract international tenants on 5–10 year leases at a rental premium of more than 1.7× over Grade B.

3

The opportunity in Jeddah and the Eastern Province

While Riyadh captures the RHQ programme, Jeddah (SAR 1,350–1,600/sqm) and Dammam/Khobar offer Grade A opportunities at a lower entry cost with stable rental growth, serving logistics, energy, hospitality and secondary RHQs.

4

Outlook: healthy relief, not a collapse

With ~1.1m sqm arriving in 2027–2028 the market will have wider options, but continued corporate attraction and local institutional growth will hold net yields on Grade A at 8.2%–8.8%; pressure will fall on traditional buildings lacking the specifications.

03

Residential & Housing Market

Residential indicators and the ownership gap · Price and rent dynamics across cities · Affordability gap and the price sweet spot · Shifting product preferences · Off-plan sales · Yield model



Residential overview and the ownership gap in the Kingdom

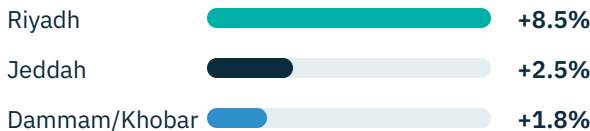
Residential / financial indicator	Current value (2026)	Annual change	Statistical analysis and data sources
Cumulative housing demand to 2030	830,000+ residential units	Confirmed need	A confirmed need for 825,000–830,000 new units by 2030 to meet population growth, concentrated in Riyadh, Jeddah, the Eastern Province, Makkah and Madinah.
Existing residential stock in Riyadh	1.45 million units	+2% est.	The capital is the focal point of housing pressure; annual demand grows about 35% faster than developer delivery, a persistent structural deficit that supports prices.
Saudi household ownership rate	63.7% → 70% target	Upward path	Ownership stands at 63.7% against the Vision 2030 target of 70%; government initiatives (Sakani, NHC) re-engineered demand with complete subsidised suburbs.
Retail residential mortgage lending	SAR 27.8bn+ / quarter	Rising resilience	Quarterly originations above SAR 27.8bn despite the cost of funds (SAIBOR 5.5%–5.8%); 300,000+ units being delivered through NHC with developers.
Average household size	4.2 persons	Declining	Smaller households, driven by independent lifestyles and young dual-income families, create stand-alone demand for modern apartments and compact units.

The residential sector faces vast organic demand driven by demographic growth and smaller households. Knight Frank and JLL note that the fall in transaction counts does not reflect weak underlying demand but the pressure of financing costs and sharp price rises, which pushed large villas beyond the reach of most young families and created a structural shift towards apartments and townhouses.

Price and rent dynamics: geographic divergence across the main cities

City	Avg apartment price (SAR/sqm)	Annual change (apartments)	Avg villa price (SAR/sqm)	Annual residential rent growth
Riyadh	5,150 – 5,400	+8.5% ↗	4,850 – 5,100	+12% to +16% ↗
Jeddah	3,950 – 4,200	+2.5% ↗	4,100 – 4,400	+5% to +7% ↗
Dammam / Khobar	3,100 – 3,400	+1.8% ↗	3,250 – 3,500	+3% to +4% ↗
Riyadh — apartments (CBRE/JLL)	4,900 – 5,200	+6% to +8%	—	+15% in northern districts
Gross rental yield (Riyadh)	6.8% – 7.5%	Highest nationally	4.0% – 4.8%	Apartments outperform villas

Apartment price growth by city (YoY)



Reading the geographic divergence

CBRE reports show wide divergence in performance: Riyadh leads price and rent growth on the back of workforce inflows and RHQ relocations, pushing apartment rents up by record rates above 15% in the northern districts. Jeddah and the Eastern Province show stability and more moderate growth, making Riyadh the highest-yielding rental market (6.8%–7.5% for apartments).

Price map and geographic comparison across the four macro-regions

Central Region

Riyadh and Al-Qassim — the focus of pressure and growth

North Riyadh, KAFD, New Murabba, Diriyah, Qiddiya, Buraidah and Unaizah

Apartments (SAR/sqm)
5,150 – 5,400

Villas (SAR/sqm)
4,850 – 5,100

Western Region

Jeddah, Makkah and Madinah

North Jeddah, Obhur, the waterfront, Makkah Central Area, the Prophet's Mosque surroundings

Apartments (SAR/sqm)
3,950 – 4,200

Villas (SAR/sqm)
4,100 – 4,400

Eastern Province

Dammam, Khobar, Dhahran, Jubail and Al-Ahsa

North Khobar, Dhahran, Dammam Corniche, Jubail Industrial

Apartments (SAR/sqm)
3,100 – 3,400

Villas (SAR/sqm)
3,250 – 3,500

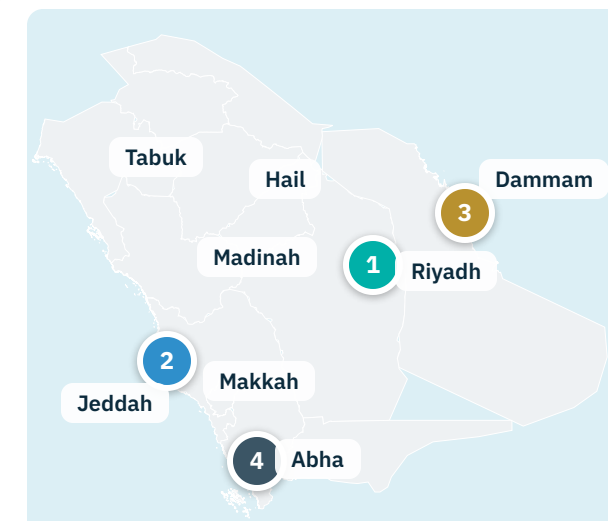
Southern and Northern Regions

Abha, Tabuk, Hail and NEOM (Takamol estimate)

Abha and Al-Soudah, Tabuk and the NEOM gateway, Hail, Jazan

Apartments (SAR/sqm)
2,000 – 2,800

Villas (SAR/sqm)
2,200 – 3,000



The thirteen administrative regions · colour-coded by macro-region on the cards

Spatial trend: Riyadh leads national prices on RHQs and giga-projects (apartments +8.5%, rents +12%–16%), while Jeddah and the Eastern Province offer moderate growth (+2.5% and +1.8%) at a lower entry ticket with stable yields; the southern and northern regions remain an emerging market that NEOM and the Red Sea are gradually repricing. The spread between the highest and lowest band is about 2×. **Takamol view:** for the yield-seeking investor, Riyadh apartments (6.8%–7.5%) remain the first choice; for capital growth at a lower entry ticket, north Jeddah and Khobar — where giga-projects and 2034 stadiums are accelerating — offer a window before repricing. Southern and northern prices are Takamol estimates.

The structural shift in product preferences and integrated community models

Rising residential formats in the Kingdom

● Compact apartments at the price sweet spot

Apartments take 62% of residential unit sales. Developers delivering smart-sized apartments (120–180 sqm) in the SAR 900,000–1,400,000 band record sales above 90% within the first months of launch.

● Townhouses and compact villas in gated communities

A 23% share of sales; a radical shift in Saudi housing culture from large detached villas (just 15%) towards gated communities with unified facility management, driven by affordability, living efficiency and investor returns (apartments are easier to let than villas).

● Master-planned communities

CBRE research confirms buyers now prefer to purchase off-plan from accredited developers and giga-projects (such as ROSHN and Sedra) for their urban planning quality and integrated amenities that traditional districts lack; off-plan contracts have grown +65%.

Success factors of integrated communities

15 Minutes — the 15-minute city

Minute City: schools, mosques and health centres within walking distance

Urban planning that puts daily services within residents' reach, lifting asset value and marketing durability compared with traditional districts.

-30% Energy consumption

Buildings compliant with the Saudi Building Code and unified facility management

Sustainability and efficiency cut operating bills by 30%, while facility-management subscriptions sustain the asset and its market value.

Affordability gap, off-plan sales and strategic recommendations

Strategic theme	On-the-ground reality and analysis (Kingdom)	Recommendation for developers and investors
Price sweet spot	Around 48% of Saudi household budgets are below SAR 1m, 32% between SAR 1.0m and 1.5m, only 6% above SAR 2.5m (approximate).	Focus on 120–180 sqm apartments at SAR 900k–1.4m; the sub-SAR 1m segment relies almost entirely on support schemes and NHC.
Off-plan sales (Wafi)	Off-plan contracts up +65%, giving buyers a 15%–20% price advantage; default risk down to near 0% thanks to escrow.	Self-finance via escrow, ease bank-debt pressure (SAIBOR 5.5%–5.8%), and offer payment plans tied to construction milestones.
Shift to apartments and townhouses	62% of sales are apartments, 23% townhouses and compact villas, 15% large villas; drivers: affordability, efficiency, investor returns.	Gated communities with unified facility management and shared amenities (gyms, greenery), 2–3 bedroom units, parking and lifts.
Riyadh versus other cities	Riyadh: apartments +8.5%, rents +12%–16%, a 35% delivery deficit; Jeddah and the East: moderate growth (+2.5%, +1.8%), lower entry.	For yield: Riyadh apartments (6.8%–7.5%); for capital growth at lower cost: north Jeddah and Khobar as giga-projects accelerate.
Institutional housing (build-to-rent)	Rising rental demand from expatriates and new professionals as RHQs relocate; serviced apartments yield most (8.0%–9.2%) and fill fastest.	Furnished complexes on long institutional leases to global firms, hospitals and universities for sustainable cash flow.

The Kingdom's residential market is maturing institutionally: vast demographic demand meets a cultural shift to apartments and gated communities, while off-plan sales and government support give developers cheaper funding and lower risk. The gap is not demand but the right product at the right price and size — hit the sweet spot and 90% sells within months.

Takamol view: where is residential return concentrated? Three investment models

An illustrative example built on the average prices and yields in this report — not an investment offer; the detailed study is produced through Real Invest.

Model A

Serviced apartment for professionals in Riyadh

North Riyadh · 110 sqm · build-to-rent

Estimated price per sqm	SAR 5,300
Unit value	SAR 583,000
Annual rent	SAR 50,000

Gross yield

8.6%

Report range 8.0%–9.2% · expected capital growth +7% a year · payback 11–12 years

Model B

Family apartment at the price sweet spot

Riyadh · 150 sqm · 2–3 bedrooms

Estimated price per sqm	SAR 5,200
Unit value	SAR 780,000
Annual rent	SAR 56,000

Gross yield

7.2%

Report range 6.8%–7.5% · 90% sold within launch months · payback 13–14 years

Model C

Compact townhouse in north Jeddah

Gated community · 250 sqm plot · 280 sqm built

Estimated price per sqm	SAR 4,300
Unit value	SAR 1,200,000
Annual rent	SAR 70,000

Gross yield

5.8%

Report range 5.5%–6.2% · capital growth +5% · payback 16–17 years

04

Retail & Lifestyle Centres

Retail's shift from traditional malls to lifestyle centres • Map of major commercial destinations • The four pillars of demand • Enclosed versus open malls • Distribution by region • The strategic pyramid



Retail dashboard: from traditional malls to the experience economy

+20%

Annual e-commerce growth —
pressure on traditional malls

92%+

Occupancy of lifestyle and F&B
centres

+21%

Growth in digital retail transactions
in Riyadh

50%+

Of GLA in new schemes given to
dining and entertainment

Occupancy and rental growth by model

JLL reports that e-commerce growth above 20% a year in Saudi Arabia has eroded footfall at standard enclosed malls. By contrast, lifestyle strips and destination centres are seeing rising demand as consumers seek open social spaces, entertainment and distinctive dining.

Successful developers today allocate more than half of gross leasable area (GLA) to dining, entertainment and essential services.



Takamol view

According to CBRE, sales growth and visitor activity have shifted to open lifestyle and F&B hubs as digital transactions grow 21%; open centres outperform large enclosed malls in both occupancy and rental growth.

The giga-projects add a new layer of retail destinations: 900,000 sqm of commercial space in New Murabba, heritage retail at Diriyah Gate and family entertainment at Qiddiya — raising the bar for competition on experience quality rather than floor area.

Opportunity window: repositioning enclosed malls towards F&B and entertainment, and developing open community centres in the new residential suburbs (NHC and giga-projects). Traditional mall occupancy is an estimate.

Map of major retail and entertainment destinations 2026–2030

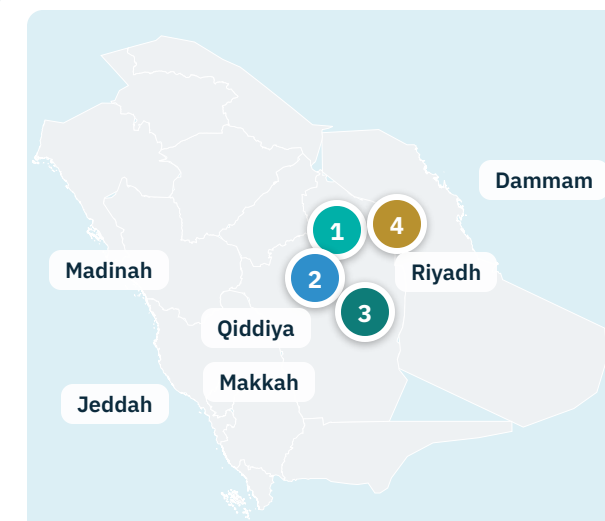
1 New Murabba — Riyadh 2030
900,000 sqm of commercial space · The Mukaab icon · a new high-density, sustainable downtown in north-west Riyadh within a USD 50bn+ investment

2 Qiddiya — the entertainment capital 2026–2030
West of Riyadh · USD 40bn+ · Speed Park and sports venues · 60,000 integrated buildings and units · capturing leisure cash flows and family retail

3 Diriyah Gate — heritage retail 2027–2030
Riyadh · USD 63bn+ · the capital of culture and heritage hospitality · 42 hotels, museums and heritage boutiques lifting tourism and luxury retail returns

4 King Salman Park & Sports Boulevard 2026–2028
Riyadh · USD 15bn+ · 135 km of trails and overlooking units · open-air F&B and retail along the route lifting adjacent asset prices 15%–25%

1.5m+ sqm of new retail and entertainment space, by estimate, in Riyadh alone by 2030 (New Murabba 900k sqm plus Diriyah, Qiddiya and King Salman Park) — mostly in the open-destination, experience-led model rather than enclosed malls. Takamol estimates.



Project locations are approximate on the regional map of the Kingdom

The four pillars of demand and spending in lifestyle centres

Leasable area mix in the new model (upper end of range)



- **Dining and cafés — F&B (55%+ of area):** In the new model dining, cafés and leisure dominate more than 55% of the area, versus fashion and general retail (60%+) in traditional malls; reliance on the experience economy and community interaction rather than direct consumption shopping.
- **Retail and shopping (20%–25%):** Selective retail, flagship stores and lifestyle brands instead of big fashion boxes; with e-commerce growing +20%, space turns to display, experience and omnichannel pick-up services.
- **Leisure and experiences (10%–15%):** Open spaces with greenery and outdoor seating, events and seasons (Riyadh Season, Jeddah), and family entertainment; the giga-projects (Qiddiya, King Salman Park) raise consumer expectations.
- **Services and lifestyle (5%–10%):** Health, beauty, fitness and daily services that turn the centre into an everyday destination serving the new residential suburbs (NHC and integrated communities) all week long.

92%+

Lifestyle centre occupancy — strong rental growth

55%+

F&B and leisure share of area in the new model

900K sqm

Commercial space in New Murabba alone

Summary

The winning tenant mix in the Kingdom in 2026 starts with dining, cafés and experiences, is anchored by neighbourhood services, and concentrates fashion in flagship stores rather than big boxes. The internal split is a Takamol estimate.

Benchmark comparison: the traditional model versus the new model

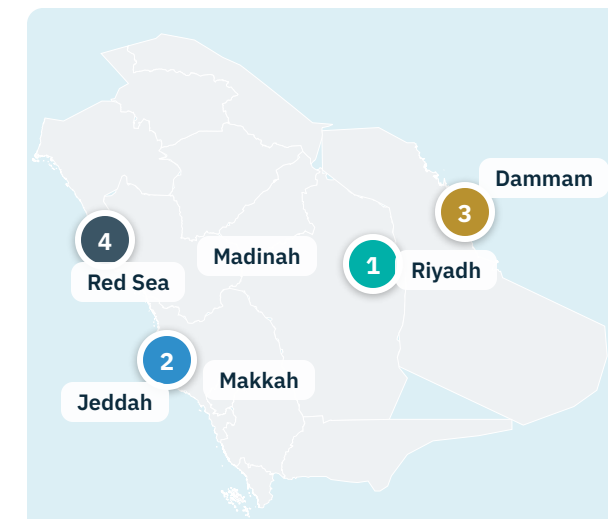
	The new model (lifestyle & F&B hubs)	The traditional model (enclosed malls)
Key examples	Open centres with greenery and outdoor seating; lifestyle strips and destination centres in Riyadh, Jeddah and Khobar built on the experience economy and community interaction	Large enclosed big-box spaces built on direct consumption shopping, with fashion and general retail dominating more than 60% of the area
Occupancy	92%+ High occupancy and strong rental growth driven by demand for dining, leisure and events	~80% Estimated occupancy, with vacancies appearing in unrenovated space that has not kept pace with dining and leisure
Average rent	55%+ Of area for dining, cafés and leisure — developers allocate more than half of GLA to them	60%+ Of area for fashion and general retail — the most exposed to e-commerce competition (+20% a year)
Operating edge	Grows alongside digital transactions (+21%) because it offers what e-commerce cannot: social experience, food and entertainment	Slow rental growth and fierce competition from e-commerce; repositioning towards F&B and leisure is needed to stay competitive

The new-model premium: an occupancy gap of more than 10 percentage points and strong versus slow rental growth — making the redirection of traditional mall space towards F&B, leisure and experiences an investment priority in every major city. Traditional-model occupancy is an estimate.

Geographic distribution of retail by macro-region

1 Greater Riyadh North Riyadh – giga-projects – Riyadh Metro stations	The Kingdom's largest retail market; digital transactions +21%, open lifestyle centres in the north, 900k sqm coming in New Murabba, heritage retail in Diriyah, leisure in Qiddiya; expatriate and RHQ demand.	92%+ Lifestyle centre occupancy
2 Jeddah, Makkah and Madinah Waterfront – Central Area – the Two Holy Mosques	Tourism and religious retail with huge seasonal flows (Umrah, Hajj and summer); Corniche destinations and F&B hubs in north Jeddah, and pilgrim retail in Makkah's Central Area and around the Prophet's Mosque.	+2.5% Jeddah property price growth · high seasonality
3 Eastern Province Khobar – Dammam – Dhahran	A high-income consumer base (energy and industry); the Khobar waterfront and neighbourhood centres, with moderate growth (+1.8%) and rental stability suited to community centres and strip retail.	+1.8% Moderate growth · stable demand
4 West coast and tourism projects NEOM – Red Sea – AMAALA	Luxury retail tied to ultra-luxury hospitality (ADR USD 1,200+), 8,000 rooms at the Red Sea and 3,800 at AMAALA; destination boutiques and global restaurants inside resorts rather than conventional shopping centres.	150M Visitors targeted by 2030

Implication: retail strength concentrates in Riyadh (density, income, giga-projects), then tourism retail in the west and along the coast, while the Eastern Province rewards stable community centres — the market pays for experience and density, not floor area.



Retail centres of gravity on the regional map of the Kingdom

The strategic pyramid and executable recommendations for retail

Lifestyle and destination centres

Lifestyle & destination centres: develop open centres in north Riyadh, north Jeddah and Khobar with 50%+ of GLA for dining, leisure and events — 92%+ occupancy, strong rental growth and faster leasing.

Community service centres

New housing suburbs: neighbourhood centres serving 300,000+ NHC units and integrated communities (ROSHN, Sedra) with anchor tenants (supermarket, pharmacy, fitness, cafés) on long leases — stable income that supports financing and REIT listing.

Repositioning traditional malls

Repositioning: convert under-performing fashion space (60%+) in enclosed malls into F&B, family entertainment, health, fitness and interactive experiences to counter e-commerce (+20%) and extend dwell time and asset efficiency.

Execution matrix

Omnichannel

Integrate pick-up and return points and quick-delivery storage inside centres to turn e-commerce growth into footfall.

Flexible leases

Base rent plus turnover share for dining and leisure, and short leases for pop-up stores during seasons and events.

Integration with giga-projects

Position on the edges of New Murabba, Qiddiya and King Salman Park, where adjacent assets rise 15%–25%.

Pyramid order from the top: highest priority by return versus development effort.

05

Giga-Projects, Logistics & Data Centres

The macro investment picture of the giga-projects · Project comparison matrix · NEOM and the reshaping of the urban fabric · Supply chains and modern warehousing · Data centres · Financing structures and partnerships



The macro investment picture for giga-projects and specialised real estate

\$1.3T+

USD trillion — announced construction and development pipeline

\$196B+

USD billion — construction contracts awarded and under way

4.6M sqm

New institutional office space (+4.6m sqm) reshaping the business market

380,000+

New residential units within the giga-projects by 2030

Occupancy and rents in specialised real estate

Market dynamics: according to CBRE the logistics sector is in an unprecedented boom, supported by the National Transport Strategy and e-commerce expansion, with the focus shifting to smart warehousing and cold chains; modern warehouse occupancy is close to 95%. Warehouse yields are Takamol estimates.

Modern (high-spec) warehousing		~95%
Annual warehouse rent growth		+8–12%
Data centre yields (net)		8–9%
Modern warehouse yields (net)		~8%

Why does specialised real estate outperform in the Kingdom?

JLL and CBRE advise that traditional property investment (buy land and wait) is no longer viable; the recommendation is specialised real estate — Grade A modern warehousing and data centres delivering stable net yields above 8%–9%.

The giga-projects represent the largest simultaneous infrastructure and real estate development programme in modern history; they are no longer future blueprints but have entered actual construction spending with contracts above USD 190bn, redrawing the economic and geographic map by shifting the urban centre of gravity from traditional zones to smart model cities led by PIF.

Flow chart: from sovereign capital to the income-producing asset

Four linked stages that define where property demand from giga-projects and logistics concentrates in the Kingdom.

Link 1

Sovereign capital and partnerships

USD 1.3tn

PIF as the largest operator, and giga-project financing structure: 45% PIF, 35% private sector and partnerships, 20% foreign investment and international funds.



Link 2

Giga-projects and infrastructure

USD 196bn

Contracts actually awarded: NEOM (USD 28bn in contracts), New Murabba, Diriyah, Qiddiya, King Salman Airport (120 million passengers), Riyadh Metro and National Transport Strategy roads.



Link 3

Supply chains and smart warehousing

~95%

High-spec warehousing and cold chains around Riyadh, Jeddah, Dammam and Oxagon; rents growing 8%–12% a year and occupancy close to 95%.



Link 4

Specialised income-producing assets

8–9%

Data centres and Grade A warehousing with stable net yields of 8%–9%, sub-development contracts within master plans, and REITs to own operational assets.

Decisive location: the King Salman Airport corridor and north Riyadh, the ports of Jeddah and Dammam, and Oxagon in NEOM — where the National Transport Strategy meets e-commerce.

Required specification: high-clearance smart warehouses, chilling and freezing for cold chains, rooftop renewable energy, and digital connectivity for data centres.

Target tenant: e-commerce and 3PL firms, food and pharmaceutical chains, global data-centre operators, and giga-project contractors.

NEOM and the giga-projects: demand drivers and opportunities for developers

The five demand drivers

1

NEOM (USD 500bn): The Line, a car-free vertical city; Oxagon, the largest floating industrial complex for clean supply chains; Trojena, the ski destination (2029 Asian Winter Games); Sindalah and Magna, luxury yachting gateways.

2

Greater Riyadh (USD 314bn+): New Murabba (104,000 units, 900,000 sqm commercial), Diriyah (20,000+ units, 42 hotels), Qiddiya (60,000 buildings), King Salman Park (135 km of trails).

3

National Transport and Logistics Strategy: King Salman Airport (120 million passengers by 2030), north Riyadh as a global logistics and commercial hub, and e-commerce expansion (+20%).

4

Digital economy and data centres: Institutional demand for data centres at net yields of 8%–9% alongside RHQ relocations (540+ companies) and government digital transformation.

5

International milestones: Expo 2030 (6 million sqm, 40,000+ rooms) and the 2034 World Cup (15 stadiums) act as a binding accelerator that removes infrastructure-delay risk.

Investment opportunities

Sub-developer plots

Acquire and develop fully serviced plots inside master plans (such as ROSHN and Sedra) — lowering infrastructure risk, shortening the development cycle and giving local developers direct access to the demand wave.

Grade A warehousing and build-to-suit data centres

Develop to tenant specification (3PL, e-commerce, cloud operators) around King Salman Airport and the ports of Jeddah and Dammam on long leases; ~95% occupancy and 8%–9% yields — the closest to an institutional asset that can be monetised through REITs.

Partnerships with funds and the PPP model

JLL and Knight Frank conclude the model is shifting from wholesale government spending to public-private partnerships (PPP); the major entities provide infrastructure and central services, opening the door for developers to build residential towers, retail centres and supporting facilities at attractive margins.

06

Hospitality & Tourism

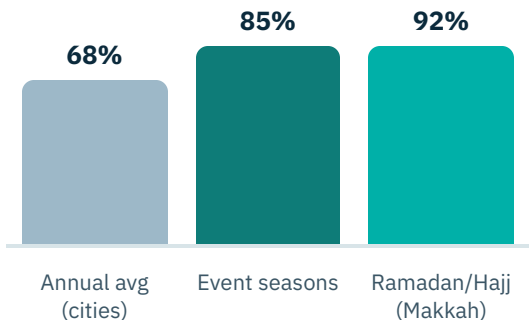
Operating and financial indicators · Demand drivers and guest behaviour · Hotel development economics · Geographic distribution of investment hotspots (Red Sea, AMAALA, NEOM, Riyadh) · Seasonality · Risks and hedging · Recommendations



Operating and financial dashboard for the Kingdom's hospitality market

Indicator	Estimated value 2026	Annual change	Analysis and data sources
Visitor target 2030	150m visitors	Upward path	Vision 2030 target · Expo 2030 · World Cup 2034
RevPAR — Riyadh	Growth above +18%	+18%	Riyadh RevPAR +18% on business events and RHQs
ADR — ultra-luxury	USD 1,200+ / night	Record	Expected ADR at the Red Sea, AMAALA and NEOM, versus around SAR 650–900 for city business hotels (est.).
New west-coast supply	11,800+ luxury keys	Phase one	Red Sea: 50+ resorts / 8,000 rooms · AMAALA: 29 hotels / 3,800 keys · NEOM: 15+ eco-destinations.
Annual occupancy — cities	Around 65%–72%	+3 pts est.	Takamol estimate: Riyadh and Jeddah lead; peaks above 85% in Ramadan/Hajj (Makkah) and Riyadh Season.
Emissions — new projects	Net zero	Renewable	100% renewable operation at the Red Sea — a regenerative standard that draws global operators.

Occupancy: annual vs peak (est.)



Institutional analysis

Knight Frank Hospitality notes the Kingdom is redefining regional hospitality through regenerative tourism: the Red Sea and AMAALA target the ultra-luxury segment and rival the Maldives and the Riviera. Phase one and Red Sea International Airport have put Saudi Arabia on the luxury map. City-hotel figures are Takamol estimates.

Hotel demand drivers, guest behaviour and spending patterns in the Kingdom

Demand segment	Key drivers and feeder events	Daily guest spend	Average stay	Share
Religious tourism (Umrah and Hajj)	Makkah and Madinah, Haramain High-Speed Rail, Holy Mosque expansions, seasonal Umrah programmes	SAR 450 – 900	4 – 7 nights	38%
Business and RHQs (corporate & MICE)	540+ RHQs in Riyadh, exhibitions and conferences, Expo 2030, PIF projects and investor roadshows	SAR 900 – 1,600	2.5 – 3.5 nights	30%
Leisure and seasons	Riyadh Season, Jeddah Season, Qiddiya, General Entertainment Authority events, World Cup 2034	SAR 700 – 1,300	2.0 – 3.0 nights	22%
Ultra-luxury and regenerative tourism	Red Sea, AMAALA, Sindalah and Magna, Trojena, AIUla — ADR USD 1,200+	SAR 4,500 – 7,000	3.0 – 5.0 nights	10%

Religious 38%

Business 30%

Leisure 22%

10%

Shifts in guest behaviour

From religious visit to extended stay: linking Umrah with cultural and leisure tourism (Diriyah, AlUla, Historic Jeddah) lifts average stay and spend.

The new institutional guest: RHQ executives drive demand for serviced hotel apartments and long stays in Riyadh.

Estimate

Share and spend distribution

Shares, daily spend and average stay are Takamol estimates built on the 150 million visitor target, RevPAR growth of +18% and ultra-luxury ADR of USD 1,200+ cited in this report.

Hotel development and investment economics: three categories compared

Financial and development metric	Ultra-Luxury Ultra-Luxury	4–5 Star Upscale	Serviced Apartments Serviced Living
Construction and fit-out cost per key (CapEx/Key)	2.5 – 4.5m	800k – 1.3m	450 – 650k
International operator fees (base + incentive)	3.0% revenue + 8% GOP	2.0% revenue + 7% GOP	1.5% revenue + 5% GOP
Average annual net cash flow per key	250,000 – 450,000	70,000 – 110,000	45,000 – 65,000
Rate of return — expected IRR	10.0% – 13.0%	13.0% – 16.0%	16.0% – 19.0%
Payback period	10 – 13 years	7 – 9 years	5.5 – 7 years
Values in SAR · Takamol estimates based on hotel development benchmarks in the Kingdom 2026 and ultra-luxury ADR of USD 1,200+.			

100%

Renewable energy and net zero at the Red Sea projects — the new sustainability standard international operators and funds require to finance hotel assets

Financing drivers of the sector

Giga-project financing structure: 45% PIF, 35% private sector and partnerships, 20% FDI and international funds — opening the door to developers and operators through PPP and management contracts.

Serviced apartments pay back fastest: the highest IRR (up to 19%) and shortest payback, with demand from RHQ executives and 40,000+ rooms needed for Expo 2030 — the best-suited model for Riyadh and Jeddah.

Detailed geographic distribution of hotel investment hotspots in the Kingdom

1

Riyadh — business and seasons

KAFD, Diriyah, Qiddiya, King Salman Airport

RevPAR +18%; 540+ RHQs, Riyadh Season, Expo 2030 (40,000+ rooms), Diriyah Gate (42 luxury hotels); target supply: 4–5 star business hotels and serviced apartments.

+18%
RevPAR growth

2

Red Sea and AMAALA

West coast — regenerative tourism

50+ resorts / 8,000 rooms at the Red Sea and 29 hotels / 3,800 keys at AMAALA; Red Sea International Airport; 100% renewable; rivals the Maldives and the Riviera.

USD 1,200+
Ultra-luxury ADR

3

NEOM — Magna, Sindalah, Trojena

North-west — smart eco-destinations

15+ smart eco-hospitality destinations on the NEOM coast, Sindalah and Magna luxury yachting gateways, and Trojena, the Gulf's first ski resort (2029 Asian Winter Games).

15+
Eco-hospitality destinations

4

Makkah and Madinah

Religious tourism — the largest by volume

The Two Holy Mosques, Haramain High-Speed Rail and Umrah targets within 150m visitors; target supply: Central Area hotels and hotel apartments for groups and families.

150M
Visitors targeted 2030 (national)

5

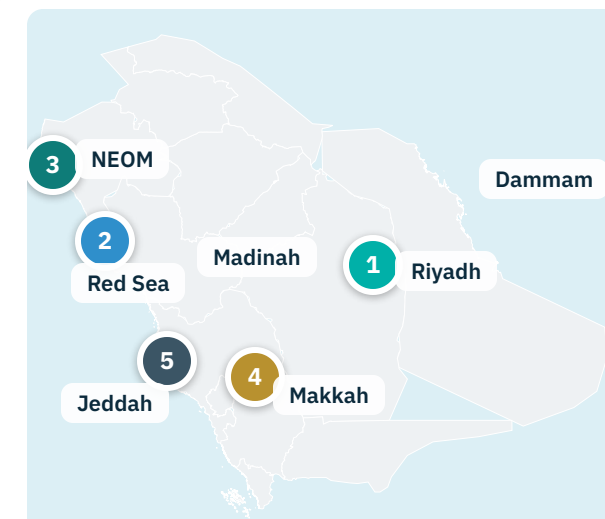
Jeddah and the Eastern Province

Waterfront — gateway to the Holy Cities and Gulf

Jeddah: Umrah gateway, Jeddah Season and 2034 World Cup stadiums; Khobar and Dammam: business hotels for energy and industry; stable growth, lower entry than Riyadh.

2034
World Cup · 15 stadiums

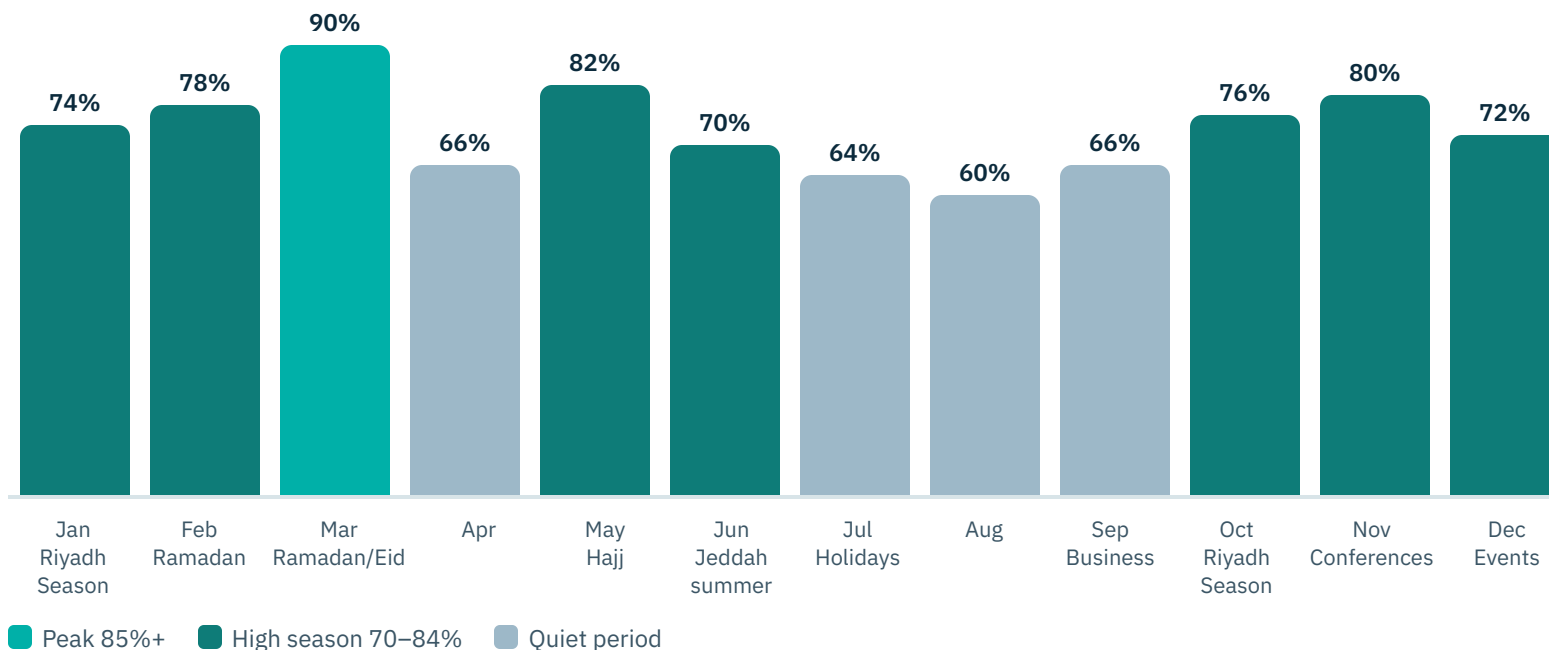
Implication: the ADR gap between ultra-luxury west-coast products (USD 1,200+) and city business hotels exceeds 5x; Riyadh leads operating growth (+18% RevPAR) while the west coast leads asset repricing.



The five hotel investment axes on the regional map of the Kingdom

Seasonality: estimated hotel occupancy curve through the year (main cities)

Takamol's reading of the national demand rhythm — an illustrative estimate combining Umrah and Hajj seasons, Riyadh Season and business events.



~30 pts

The gap between the Ramadan and Hajj peak (Makkah) and the quiet months — the hotel owner's first operating challenge outside event seasons

How is seasonality managed?

At the peak: dynamic pricing, minimum stays, and packages tied to Umrah, Riyadh Season and exhibitions.

In the lull: corporate and RHQ contracts, government conferences, and linking Umrah with cultural tourism (Diriyah, AlUla, Historic Jeddah).

In design: flexible dual-key assets that switch between hotel and long-stay serviced living for executives.

Strategic hedging mechanism and executive remedies in hospitality

Challenge / Risk	Impact	Strategic hedge and executive mitigation
Simultaneous delivery of 40,000+ rooms for Expo 2030 and post-event surplus risk	Medium	Design flexible assets convertible into serviced apartments and executive housing (540+ RHQs), and phase deliveries around Riyadh Season and the 2034 World Cup.
High cost of funds (SAIBOR 5.5%–5.8%) and luxury hotel capex	High	Partner with development funds, PIF and PPP models (45% / 35% / 20%), adopt franchise agreements instead of costly management contracts, and finance through hospitality REITs.
Sharp seasonality of religious tourism and event seasons	Medium	Link Umrah with cultural and leisure tourism to extend stays, offer business and MICE packages off-season, and diversify the mix across Makkah, Riyadh and the west coast.
Sustainability requirements of international operators	Low–Medium	Comply with the Red Sea standard (100% renewable, net zero) and the Saudi Building Code for thermal insulation, cutting operating bills and raising asset appeal to operators and funds.

Final executive recommendations for hospitality investors in the Kingdom

01

Seize the serviced hotel apartment (extended stay) opportunity in Riyadh and Jeddah

The fastest payback (5.5–7 years) and highest IRR (16%–19%) through serviced apartments that meet demand from RHQ executives (540+ companies) and the immediate need of Expo 2030 (40,000+ rooms), with the flexibility to convert to long-term rented housing.

IRR 16%–19% · Payback 5.5–7 years**02**

Focus on upscale business and seasonal hotels in Riyadh and Makkah

Close the quality gap by developing 4–5 star hotels on the KAFD, Diriyah, King Salman Airport and Makkah Central Area axes, capitalising on RevPAR growth of +18% and the 150 million visitor target.

RevPAR +18% · The widest gap in the market**03**

Partner with giga-projects and international operators (ultra-luxury)

Enter management, franchise and PPP agreements with the Red Sea, AMAALA, NEOM and Diriyah (42 hotels), where ADR exceeds USD 1,200; higher margins against high capex and a longer payback suited to funds and institutional investors.

ADR USD 1,200+ · 11,800+ luxury keys coming

07

Legislative & Regulatory Framework

Market restructuring and attracting global capital · Non-Saudi ownership law · White Land Tax and the Tawazoun platform · Premium Residency · Off-plan sales under Wafi · Government support programmes · Financial impact matrix



Market restructuring, consumer protection and attracting global capital

\$100bn

A year — strategic FDI attraction target by 2030

~10%

Total transaction cost (5% RETT + approx. 5% fees)

+35%

Growth in foreign licences in real estate and commerce

Scope of ownership in the Kingdom

The non-Saudi ownership law lets foreign individuals, companies and funds own property in designated zones of Riyadh, Jeddah, Makkah and Madinah, with full (100%) ownership in strategic areas outside the Two Holy Cities.

The fundamental shift: strict limits on vacant land and residential projects lifted, and ownership tied to direct-investment incentives; the Saudi Real Estate platform is the mandatory gateway for eligibility checks and developer contact.

Impact: CBRE sees the updated law as a major turning point opening the door to regional and international wealth; foreigners can now own directly rather than lease, shifting demand from temporary consumption to permanent capital investment and supporting liquidity in hospitality and luxury compounds.

From speculation to operational sustainability

"Q3 and Q4 2025 and Q1 2026 saw radical regulatory decisions that changed the rules of the game, moving the market from speculation to operational sustainability": the non-Saudi ownership law, the expanded White Land Tax, the Tawazoun platform, the Wafi off-plan regime and Premium Residency.

Target group: multinationals with regional headquarters (540+), international funds, Premium Residency holders (a property asset of at least SAR 4m), and Gulf investors — enabling ownership of headquarters, residential compounds and hotel assets in approved zones.

White Land Tax and Tawazoun: releasing supply, curbing speculation

WLT

Expanding the scope of the White Land Tax

Releasing hoarded land within the urban boundary

Progressive fee structure

A progressive fee of up to 10% in Riyadh on undeveloped land within the urban boundary, against a base rate of 2.5% a year of land value.

411 million sqm identified

More than 411 million sqm of undeveloped land identified, pushing owners to develop or partner with developers.

From land-banking to development

The advanced phases, especially in Riyadh and the major cities, have curbed land hoarding and pushed major owners either to sell to developers or to enter development partnerships.

10%

Progressive fee ceiling in Riyadh

411M sqm

Undeveloped land identified for the incentive

Developer opportunity: landowners under fee pressure are more open to joint-venture development — lowering land cost and opening new master plans in Riyadh, Jeddah and Dammam.

TZ

The Tawazoun platform

Closing the supply-demand gap for eligible citizens

Objective

Close the supply-demand gap and cap prices for eligible citizens by directing developed, subsidised land to those genuinely entitled.

Mechanism

A price ceiling on subsidised residential land of SAR 1,500 per sqm, ensuring support reaches target families rather than speculators.

Controls

A ban on resale or letting for 10 years, ensuring support reaches those genuinely entitled and preventing speculation on subsidised land.

1,500

SAR/sqm — price ceiling on subsidised residential land

10

Years — ban on resale or letting

Takamol view: Tawazoun and the White Land Tax work together: the first disciplines subsidised demand, the second releases supply — producing a more orderly land market that rewards the genuine developer, not the speculator.

Map of the comprehensive regulatory transformation: four phases that redefined the market

01

Regulation and governance

Launch of the real estate brokerage law and its executive regulations to protect transactions, and establishment of REGA as the market's unified regulator.

02

Digitisation and documentation

The Ejari platform and the unified real estate register to document ownership electronically, and the Saudi Real Estate platform as a digital gateway for foreign investors.

03

Financial opening and liquidity

Updated REIT regulations, the Wafi off-plan sale and lease regime, and bank escrow accounts.

04

Internationalisation and investment attraction

Expansion of Premium Residency, the updated foreign ownership law, and linking ownership to direct-investment incentives and the USD 100bn annual FDI target.

According to Knight Frank, the Saudi real estate sector is no longer an unregulated market governed by individual discretion; it has become an institutional environment governed by legislation issued by REGA. This shift from informality to digital governance has lifted the Kingdom's score on JLL's Real Estate Transparency Index, creating a safe environment for foreign and local institutional investors alike — which explains the +35% growth in foreign licences and the flow of international funds into income-producing assets.

Premium Residency and real estate funds: the new capital channels

PR

Premium Residency's impact on real estate

From property owner to permanent investor

New residency packages

The Kingdom launched Premium Residency packages (property owner, entrepreneur, exceptional talent); Knight Frank confirms the property-owner residency, conditional on an unencumbered asset worth at least SAR 4m, has created direct, rapid demand for luxury apartments and villas.

Where is demand heading?

Premium Residency-linked demand: luxury residential 45%, office and commercial 30%, hospitality and joint ventures 15%, land and industrial 10% — concentrated in north Riyadh and Jeddah.

Impact on developers

It has prompted developers to design products specifically for this high-net-worth segment: luxury apartments and villas within integrated communities to international specifications with property-management services.

Takamol view: the SAR 4m threshold defines a clear product — luxury units in integrated schemes in Riyadh and Jeddah are the direct beneficiary.

REIT

Real estate funds and alternative financing models

From bank debt to institutional capital

REITs and private funds

Owning operational assets (schools, medical centres, retail complexes, warehouses) and leasing them back at guaranteed yields; REIT platforms expanding to finance income-producing assets and provide liquidity.

Partnerships with funds (institutional capital)

JLL and CBRE recommend using funds to ease bank debt (SAIBOR 5.5%–5.8%) and secure early exits for developers, shifting from exclusive borrowing to closed-end funds and joint development.

Facility management and smart operations (FM & PropTech)

Extended operation and maintenance contracts for smart cities and integrated communities — a recurring revenue line that lifts asset value and eligibility for fund inclusion.

Financial impact: the shift from exclusive bank borrowing to funds and partnerships protects developer margins in a high-rate environment and broadens the investor base.

The Wafi off-plan regime and capital protection

How the system works — from escrow account to handover

1

Bank escrow account

Buyer payments are deposited in an escrow account and released only against certified engineering progress reports — tying drawn liquidity to actual progress on site.

**2**

Solvency and qualification requirements

Excluding small unqualified developers and restricting development to entities with delivery capacity and financial solvency has imposed unprecedented financial discipline on the market.

**3**

The numerical outcome

Off-plan projects have grown +60% in two years and project default risk has fallen to near 0%; according to JLL the regime has addressed investors' and buyers' greatest fear — project failure or delayed handover.

+60%

Growth in off-plan projects over two years

~0%

Project default risk since the regime took effect

Credit environment, mortgage finance and support programmes

Mortgage finance (SAMA): quarterly retail originations above SAR 27.8bn with rising resilience despite the cost of funds; private credit growth of 12%–14% with a loan-to-deposit ratio of 81.9%–83%.

Government support programmes: more than 300,000 residential units delivered through the National Housing Company (NHC) in partnership with developers, plus in-kind support (subsidised finance and serviced land); ownership has risen from the 2017 starting point to 63.7% today, approaching the 70% target by 2030.

Knight Frank confirms that government housing initiatives have re-engineered property demand; support is no longer just loans but complete residential suburbs at subsidised prices, ensuring a continuous flow of liquidity and full absorption of completed units.

Financial impact matrix: White Land Tax, RETT and the first-home exemption

	White Land Tax	Real Estate Transaction Tax (RETT)	First-home exemption
Rate / mechanism	2.5% A year of land value · progressive up to 10% in Riyadh	5% Flat on the value of the property transaction	1,000,000 SAR — tax exemption ceiling for the first home
Direct objective	Curb hoarding and push owners to develop	A replacement for VAT (15%) on real estate	Support citizen home ownership
Impact on market activity	Release millions of sqm (411 million sqm identified) and increase residential supply within the urban boundary	Ease the liquidity burden and speed up asset turnover between companies and individuals	Stimulate unit sales in the mid-market and affordable bands (under SAR 1m and SAR 1m–1.4m)

Reports show that applying the advanced phases of the White Land Tax, particularly in Riyadh and the major cities, has curbed the hoarding of vacant land inside cities, forcing major owners either to sell to developers or to enter development partnerships. Holding RETT steady at 5% with first-home exemptions has also preserved the fluidity of transaction flows — the total cost of a transaction remains only around 10%.

08

Market & Transaction Data

A reading of national market indicators in 2026: residential and finance
· office and commercial · land and specialised real estate · giga-
projects and hospitality · comparison and conclusion



Residential: SAR 50bn in annual transactions and demand for 830k units

SAR 50bn+

Total annual transaction value · divergence between volume and prices

SAR 27.8bn

Quarterly retail mortgage originations

830K

Units — confirmed cumulative demand to 2030

1.45M

Units — existing residential stock in Riyadh

City	Apartment price/sqm	Annual change	Villa price/sqm	Rent growth
Riyadh	5,150 – 5,400	+8.5%	4,850 – 5,100	+12% to +16%
Jeddah	3,950 – 4,200	+2.5%	4,100 – 4,400	+5% to +7%
Dammam / Khobar	3,100 – 3,400	+1.8%	3,250 – 3,500	+3% to +4%
Riyadh — northern districts	4,900 – 5,200	+6% to +8%	—	+15% (apartments)
Gross yield (Riyadh)	6.8% – 7.5%	Apartments	4.0% – 4.8%	Luxury villas
Upcoming supply (Riyadh)	70 – 90k units	Two years	60–65% coverage	Of organic demand

Reading the activity

Transaction flows and values: total annual transaction value remains resilient above SAR 50bn, with divergence between deal volume (falling counts) and rising prices — meaning value is concentrating in fewer, higher-priced deals, especially in Riyadh.

What it means

A residential market led by Riyadh on price (+8.5% apartments) while Jeddah and the Eastern Province offer an entry ticket around 25%–40% lower; quarterly mortgage lending (SAR 27.8bn) confirms real demand remains active despite rates.

Offices and commercial: limited supply, rents growing at double digits

6.1M
sqm

Existing office stock in Riyadh · under 35%
Grade A

4.6M
sqm

New institutional office space within the giga-
projects

2,770+

SAR/sqm — Grade A rent · up to 4,000 in KAFD
· +19% growth

540+

RHQ licences · 1,500–5,000 sqm requirement
per company

Riyadh versus Jeddah — relative comparison (Grade A)



What it means

Riyadh's office sector is a seller's market par excellence: 98%–99% occupancy and rents growing +18.5% (A) and +8% (B) versus +5.2% and +1.5% in Jeddah. New supply (~1.1m sqm in 2027–2028) will be absorbed without surplus thanks to 540+ RHQs, while Jeddah and the Eastern Province remain a value opportunity at a lower entry cost. Chart proportions are illustrative, drawn from the report's figures.

Land and specialised real estate: fees release supply, operational assets lead returns

411M sqm

Undeveloped land under the White Land Tax

10%

Progressive fee ceiling in Riyadh

1,500

SAR/sqm — Tawazoun subsidised land ceiling

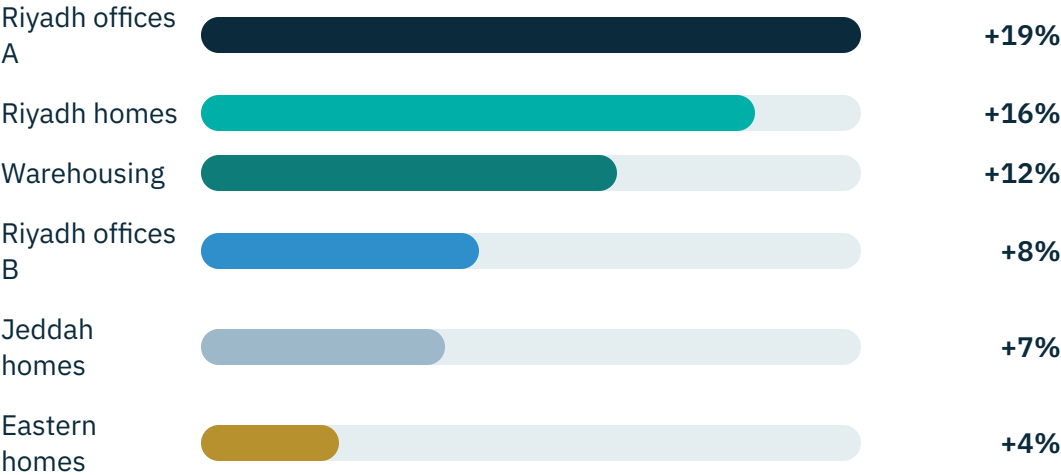
~95%

Modern warehouse occupancy · rents +8%–12%

8–9%

Net yields on data centres and warehousing

Annual rent growth by asset class (upper end) — 2026



The land market is being repriced: the progressive White Land Tax (up to 10% in Riyadh) and 411m sqm identified push owners towards development or partnership, while Tawazoun (SAR 1,500/sqm ceiling, 10-year resale ban) disciplines subsidised demand — value shifts from raw land to the operational asset.

What it means

Specialised operational assets (modern warehousing and data centres) combine ~95% occupancy, 8%–12% rental growth and 8%–9% net yields, outperforming raw land now under annual fee pressure. The JLL and CBRE recommendation is clear: invest in specialised classes, mixed-use development and partnerships with funds rather than buying land and waiting.

Giga-projects and hospitality: USD 1.3tn redrawing the map

\$1.3T+

USD trillion – total announced construction and development projects

\$196B+

USD billion – construction contracts awarded and under way

380,000+

New residential units from the giga-projects by 2030

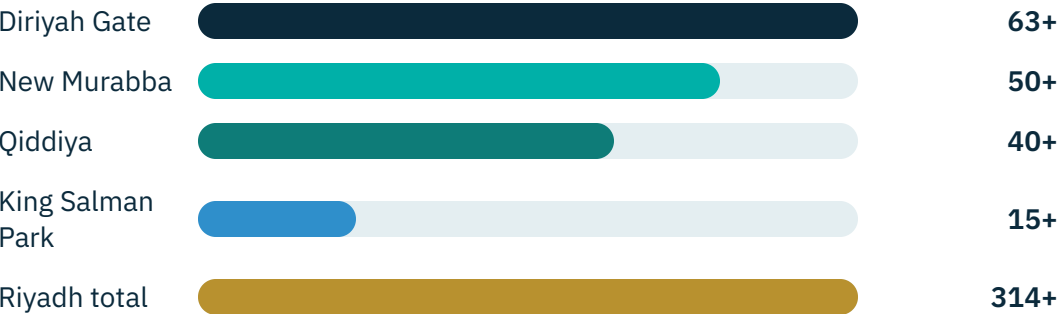
150M

Visitors targeted by 2030 · Riyadh RevPAR +18%

11,800+

Luxury keys: Red Sea 8,000 + AMAALA 3,800

Estimated investment in Riyadh's giga-projects (USD bn)



Riyadh alone accounts for more than USD 314bn of announced real estate projects; the balance between them creates functional integration: New Murabba resolves density and office space, Diriyah leads luxury heritage tourism, and Qiddiya and King Salman Park raise quality of life and support adjacent asset prices by 15%–25%.

Closing the data section

The Kingdom shows a real estate market led by investment, not rent: non-oil growth of 4.1%–4.9%, capital formation of 32%, USD 1.3tn of giga-projects in actual spending, and residential and office demand exceeding supply. Opportunities concentrate in income-producing operational assets, residential product at the price sweet spot, and partnerships with giga-projects and funds.

09

Takamol View: Opportunities and How We Help

Ten ranked investment opportunities · Investor matrix by capital and horizon · Takamol Advanced and its services · Real Forsa and Real Invest · Sources and methodology

Ten investment opportunities in the Kingdom 2026 – ranked by strength of case

1

Build-to-rent serviced apartments for executives in north Riyadh

Yield 8.0%–9.2% · capital growth +7% · demand from 540+ RHQs

Residential

2

Pre-let green (LEED) Grade A offices in Riyadh

Occupancy 98%–99% · rent +19% · net 8.2%–8.8% · window before 2027

Offices

3

Modern warehousing and data centres near King Salman Airport and the ports

Occupancy ~95% · rents +8%–12% · net yields 8%–9%

Logistics

4

120–180 sqm apartments at the price sweet spot (SAR 0.9–1.4m)

62% of sales are apartments · 90% sold in launch months · Wafi

Residential

5

Sub-development contracts within master plans (ROSHN, Sedra, Diriyah)

Serviced plots · assets adjoining giga-projects +15%–25%

Development

6

Open lifestyle centres (F&B 50%+ of GLA) in Riyadh, Jeddah and Khobar

Occupancy 92%+ · strong rental growth · served by e-commerce +20%

Retail

7

Serviced hotel apartments for Expo 2030 and the 2034 World Cup

IRR 16%–19% · payback 5.5–7 years · 40,000+ rooms needed

Hospitality

8

Luxury units for Premium Residency holders (≥ SAR 4m)

45% of residency demand is luxury residential · 100% foreign ownership · Riyadh and Jeddah

Residential

9

JV partnerships with landowners under White Land Tax pressure

411 million sqm identified · fee up to 10% · lower land cost

Land

10

Retrofitting Grade B offices and traditional malls to ESG and F&B standards

Lift rents from SAR 1,750 to 2,650+/sqm · 70% of firms require it

Value-add

Investor matrix: which opportunity suits whom?

Individual investor

Capital SAR 0.5 – 3m

Horizon: 5–8 years · Goal: recurring income + capital growth

2–3 bedroom apartment in north Riyadh at 6.8%–7.5%

Off-plan unit (Wafi) at a 15%–20% discount in an integrated community

Compact townhouse in north Jeddah with +5% capital growth

Target yield: 5.5% – 7.5%

Mid-sized investor / family office

Capital SAR 3 – 30m

Horizon: 5–10 years · Goal: a liquid income-producing asset

Build-to-rent serviced apartment block for executives

Open community centre in a new NHC suburb

Modern warehouse let to an e-commerce or 3PL firm

Target yield: 8.0% – 9.2%

Real estate developer

Projects SAR 30 – 300m

Horizon: 2–4 year development cycle · Goal: development margin + exit

120–180 sqm apartments at the price sweet spot, sold off-plan

Sub-development contract within a master plan (ROSHN / Sedra)

JV with a landowner under the White Land Tax

Target margin: 18% – 25% · IRR 14%–19%

Institutional investor / funds

SAR 300m+

Horizon: 7–15 years · Goal: core income assets on long leases

Portfolio of green Grade A offices let to RHQs on 5–10 year leases

Data centres and Grade A warehousing at 8%–9% yields

Hotel PPP partnership with giga-projects (Diriyah, Red Sea)

Target yield: 8% – 9% · REIT-eligible

Takamol Advanced: your advisory partner in real estate decisions

Takamol Advanced Company (TAC) is a Saudi–Emirati partnership specialised in real estate and investment advisory, combining local market expertise with digital analytics to deliver investment decisions built on data rather than impression. We serve developers, private investors, family offices and funds across the Kingdom and the GCC.

Market research and reports

Kingdom, city and district reports, opportunity maps and sector performance indicators — like this report.

Feasibility and valuation

Financial modelling, highest-and-best-use analysis, asset valuation, and deal and fund-partnership structuring.

Investment advisory

Portfolio construction, opportunity selection and due diligence for local, Gulf and international investors.

Development advisory

Optimal product, use mix, pricing, and launch, marketing and off-plan sales strategy for developers.

Foreign investor service

Guidance on the non-Saudi ownership law, Premium Residency and the Saudi Real Estate platform, to closing.

An integrated digital ecosystem

Real Forsa to discover opportunities and Real Invest to analyse them — our own tools that turn this report into a decision.

Why Takamol? Analysis at corridor and district level, not just the city · figures tied to operable feasibility models · a team

combining Saudi and Emirati expertise · full transparency on sources and methodology.



From report to decision: Real Forsa & Real Invest

Two Takamol Advanced platforms that complete this report — one presents the opportunities, the other analyses them.



Real Forsa

Proptech opportunities marketplace · realforssa.sa

The proptech marketplace for real estate opportunities within the Takamol ecosystem: it curates selected opportunities across the Kingdom — development land, income-producing assets, development partnerships and off-plan products — and presents them to Saudi, GCC and international investors with unified, transparent data.

- The Kingdom-wide opportunities in this report (serviced apartments, green offices, warehousing and data centres, lifestyle centres...) are presented as browsable, trackable opportunities.
- Filter by city (Riyadh, Jeddah, Dammam, Makkah, Madinah, Al-Qassim), sector, capital and target yield.
- Direct contact with the Takamol team for due diligence and deal structuring.

realforssa.sa



Real Invest

Investment analysis and advisory tool

Takamol's automated analysis and feasibility tool: enter the land or asset data (location, area, use, cost) and receive an instant preliminary feasibility study — cash flows, IRR, payback period and sensitivity analysis — built on the same market indicators presented in this report.

IRR

Internal rate of return

NPV

Net present value

Payback

Payback period

Run a feasibility study for your project in any Saudi city with Real Invest

Sources, methodology and disclaimer

Official sources

General Authority for Statistics — GDP, population, employment, inflation

Saudi Central Bank (SAMA) — SAIBOR, credit, mortgage finance

Real Estate General Authority (REGA) — laws, regulations and the Saudi Real Estate platform

Ministry of Housing and National Housing Company (NHC) — support programmes and ownership rate

Public Investment Fund (PIF) — giga-projects and financing structure

Ministry of Investment — RHQ licences and foreign investment

Zakat, Tax and Customs Authority — RETT and White Land Tax

Ministry of Tourism — visitor and hospitality targets

Market & benchmark sources

CBRE reports — offices, demographics, logistics, non-Saudi ownership

JLL reports — rents, retail, foreign investment, transparency index

Knight Frank reports — Premium Residency, governance, capex rationalisation, hospitality

Giga-project announcements (NEOM, Red Sea, New Murabba, Diriyah, Qiddiya)

Developer and integrated community announcements (ROSHN, Sedra, KAFD)

Takamol field surveys of rents and occupancy 2026

Official open data on administrative regions (maps)

Takamol reports for Riyadh, Jeddah and Al-Qassim 2026 (for comparison)

Methodological notes

Values in Saudi riyals unless stated otherwise (giga-project investment in US dollars) · annual rates versus the same period of 2025 · figures preceded by "around" or "approx." are estimates · percentage splits, monthly curves, yield models and hotel economics are illustrative, built on the report's averages · traditional mall occupancy, Grade B and C office occupancy and Dammam/Khobar office rents are Takamol estimates · project locations on maps are approximate.

Disclaimer

This report is prepared for general informational and analytical purposes and does not constitute investment advice, an offer or a solicitation to invest in any asset. Takamol Advanced has relied on sources it believes to be reliable without guaranteeing their accuracy or completeness, and figures may change as official data is updated. Investors should conduct independent due diligence and obtain specialist advice before any decision. © Takamol Advanced 2026 — all rights reserved.



Thank you for your trust

This national report on the Kingdom of Saudi Arabia is the umbrella for Takamol Advanced's series of Saudi real estate market reports — Riyadh · Jeddah · Al-Qassim · Eastern Province · Makkah · Madinah · Dammam. For a detailed edition on a specific city or sector, or a feasibility study for your project anywhere in the Kingdom, contact us.

info@takamoladvanced.sa

Unified number 920031481

takamoladvanced.sa

realforsa.sa